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Canada Bread Reports 2007 Third Quarter Financial Results

Toronto, Ontario – October 25, 2007 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the third quarter ended September 30, 2007.

"We achieved solid results for the quarter against challenging market conditions with unprecedented increases in commodity prices for flour and dairy. Our results reflect our efforts to improve manufacturing and distribution efficiencies and price increases implemented in 2006." said Richard Lan, President and CEO. "Our UK business continues to be a growth engine for our Company, and the recent acquisition of La Fornaia significantly enhanced the range of premium, specialty bakery products we can provide our customers in the UK and Europe."

Sales for the third quarter increased 13% to $385.8 million from $342.3 million last year, primarily driven by the contribution of acquisitions in the U.K. Excluding acquisitions, sales increased by 4%.

Earnings from operations for the third quarter increased 27% to $34.1 million compared to $26.8 million last year due to increased contribution from acquisitions in the U.K. and improved operating earnings in the Frozen Bakery business. The Company continues to offset higher input costs through a combination of reducing manufacturing and overhead costs and limited price increases.

Net earnings for the quarter increased to $21.1 million ($0.83 per share) compared to a loss of $2.7 million (loss of $0.11 per share) in the prior year. The prior year loss was impacted by a non-recurring tax adjustment of $21.2 million taken to write down future tax assets related to the U.S. frozen bakery business. Excluding the non-recurring tax adjustment, net earnings increased by 14% from $18.5 million ($0.73 per share) in the prior year. Year-to-date net earnings before restructuring and other related costs and non-recurring tax adjustment[1] of $61.7 million ($2.43 per share) compared to $60.8 million ($2.39 per share)

[1] This is not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.

last year. Year-to-date net earnings as reported were $60.2 million ($2.37 per share) compared to $39.6 million ($1.56 per share) last year.

Operating Review

The following table summarizes operating earnings by business segment before restructuring and other related costs:

Earnings from Operations before Restructuring and Other Related Costs

($ millions)	Third Quarter			Year-to-Date		
	2007	2006	Change	**2007**	2006	Change
Fresh Bakery	**24.9**	25.5	(2%)	**72.7**	73.9	(2%)
Frozen Bakery	**9.2**	1.3	589%	**25.4**	13.1	94%
	34.1	26.8	27%	**98.1**	87.0	13%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales increased 4% to $243.5 million in the third quarter from $233.9 million last year, largely due to the benefit of price increases implemented last year. Earnings from operations in the third quarter decreased by 2% as the business experienced an unprecedented rise in raw material costs that outpaced previously implemented price increases. Growth in higher margin value-added categories, improvements in operating efficiencies across a number of plants, and forward flour purchases helped to offset these increasing input costs and some continuing volume decline in the fresh bread market. The Company will attempt to mitigate increasing input costs with additional price increases in the fourth quarter.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the third quarter increased 31% to $142.3 million from $108.5 million last year. A significant portion of the increase reflected the contribution from acquisitions in the United Kingdom. Organic growth was 5% in the third quarter driven by growth in the UK bagel business and price increases in North America. Earnings from operations increased to $9.2 million in the third quarter from $1.3 million last year. The North American frozen bakery business achieved a solid quarter-over-quarter improvement in the earnings against a low base for the comparative period as it increased volumes, improved operating efficiencies and addressed issues that impacted its bakery in Roanoke, Virginia last year. This plant, which is the Company's largest par-baked facility, is undertaking a major warehouse expansion that will significantly increase its storage capacity and further reduce costs.

The U.K. bakery business benefited from the contribution of acquisitions and continued organic growth, offset in part by higher flour and butter costs. The Company is currently expanding freezer capacity at its Rotherham bagel plant and installing a new high-

speed croissant line at its Maidstone bakery to support continued growth in these core categories. During the quarter, the Company acquired La Fornaia, a leading producer of an extensive range of hand formed specialty bakery products, from traditional Italian ciabatta and filled focaccia to a range of organic, multi-seed breads and rolls. This acquisition extends the company's product offering in the premium specialty bakery market and enhances its new product innovation capabilities.

Cash Flow and Financing

Cash flow from operating activities of $30.9 million for the third quarter compared to $49.3 million in the prior year period decreased primarily as a result of an increase in net working capital balances. Year-to-date cash flow from operating activities was $88.1 million, an improvement of $18.2 million over the prior year driven by increased net earnings and an improvement in net working capital balances in the current year.

Interest expense for the third quarter was $1.4 million compared to $0.8 million for the same period last year. Year-to-date interest expense was $4.1 million compared to $2.6 million last year as a result of increased debt incurred to finance acquisitions in 2006 and 2007.

Capital expenditures on plant and equipment for the third quarter were $22.1 million compared to $12.2 million last year. This significant increase in capital expenditures reflects a substantial capacity expansion in the UK croissant and ciabatta facilities and the construction of new warehouse capacity at the Company's bakeries in Roanoke, Virginia and Rotherham, UK to increase internal capacity and reduce warehousing and distribution costs.

Forward-Looking Statements

This document may contain forward-looking information within the meaning of applicable securities legislation. Forward looking information is based upon a number of assumptions and is subject to a number of risks and uncertainties, many of which are beyond the Company's control, that could cause actual results to differ materially from those that are disclosed in or implied by such forward looking information. Any forward-looking information in this press release speaks as of the date of this press release. Canada Bread does not undertake to update any such forward-looking information whether as a result of new information, future events or otherwise. Additional information about these assumptions and risks and uncertainties is contained in the filings with securities regulators including the annual information form and Management's Discussion and Analysis accompanying the financial statements in the reports to shareholders. These filings are available on the Company's website at www.canadabread.ca.

Other Matters

On October 24, 2007, the Company declared a dividend of $0.06 per share payable on January 2, 2008 to shareholders of record on December 14, 2007. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2007 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Canada Bread, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2006 sales of $1.3 billion and employs approximately 9,000 people at its operations across North America and in the United Kingdom.